and which many still consider the single most important economic decision taken after independence: bank nationalization.

BANK NATIONALIZATION

The defining economic event of the 1960s and of the three decades which followed was the nationalization of fourteen private sector banks (with deposits of not less than ₹50 crores) announced on July 20, 1969. *The History of the RBI* (Vol. 3), calls it the single most important economic decision taken by any government since 1947. The decision was an economic one but its impulse was decidedly political. Indira Gandhi had become the Prime Minister after Lal Bahadur Shastri died of a massive heart attack in Tashkent. She had taken over the reins of the country at a difficult time: India had fought two wars over the last twenty months, was in the throes of a major drought, and was faced with a balance of payments crisis. A Plan-holiday followed for three years.

Politically the Congress party had lost ground, losing a large number of seats in Parliament. Indira who owed her position as Prime Minister to the Syndicate wanted to assert her leadership and rebuild the Congress party. She needed a 'dramatic gesture that would revitalize the hopes of the nation and put her firmly in control.'[20] Hemmed in by the Syndicate, and threatened by Morarji Desai, the Finance Minister and Deputy Prime Minister, who had made manifest his desire to become Prime Minister, Indira sought to fashion her own identity by presenting herself as a socialist. She identified explicitly with the poor and underprivileged. The election manifesto of the Congress party for the 1967 general election had declared that it was necessary to bring most of the 'banking institutions under social control to serve the cause of economic growth more effectively and to make credit available to the producer in all fields when it was needed.'[21]

By the beginning of 1969 it became clear that Indira would have to part ways with Morarji who was in favour of social control of banks but was opposed to nationalization. Aware of the pressure from the socialists to nationalize banks, Morarji had asked V.A. Pai Panandikar, Adviser in the Finance Ministry in 1967, to study the matter with a view to avoiding nationalization. Pai Panandikar made three recommendations. One was an extensive revision of the Banking Regulations Act so as to give the RBI